

BEFORE THE FEDERAL MARITIME COMMISSION

DOCKET NO. 25-08

FORMUKLEEN, INC.,

Complainants

v.

TOP SHIPPING SYSTEMS, CORP.,

Respondent.

RESPONDENT TOP SHIPPING SYSTEMS, CORP.'S OPPOSITION BRIEF

INTRODUCTION

Formukleen's claims are based on the false premise that Top Shipping Systems, Corp. ("TSS") acted as a non-vessel-operating common carrier ("NVOCC") with respect to the two shipments subject of Formukleen's claim for reparations. While TSS is licensed to provide NVOCC services, it did not act in that capacity for these subject shipment's shipments.

The record demonstrates that TSS performed post-arrival services, including customs clearance, local drayage, delivery, payment of terminal charges, and warehousing. TSS did not book the ocean transportation, issue house bills of lading or otherwise assumed responsibility from origin to destination for two subject shipments. Formukleen's attempt to characterize these post-arrival services as NVOCC activity is not supported by the record. The FMC recently stated in *Bartolini Miragrown Logistics Corporation DBA Lucky Consol, Inc.*, FMC Dkt. 2042(I), (ALJ May 7, 2026) ("Bartolini"):

It is not enough, however, for a respondent to be registered with the Commission as an NVOCC for the Commission to have jurisdiction. The respondent must be acting as a regulated entity in relation to the conduct at issue for the Commission to have jurisdiction. (*See Auction Block Co. v. Fed. Mar. Comm'n*, 606 Fed. App'x. 347, 347-48 (9th Cir., 2015) (holding that the Commission lacked jurisdiction where the respondent city, which provided terminal facilities to common carriers, was not an

MTO as to a dispute arising out of the city's fish dock); *Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, Dkt. No. 15-04, 2019 WL 4734299, at *12 (FMC July 16, 2019) (remanding proceeding) ("The central question in this case is whether, and when, Marine Transport was a regulated entity – common carrier, marine terminal operator, or OTI – with respect to the conduct at issue.")). Claims against non-regulated entities are appropriately dismissed.

Citing, *TZ SSE Buyer, LLC v. COSCO Shipping Lines Co., Ltd.*, Dkt. No. 24-09, 2025 WL 1675704, at *4 (ALJ Jun. 2, 2025) (notice not to review, Jul. 3, 2025).

In another FMC case, like Bartolini, the Presiding Officer stated:

To conclude that an entity operated as an NVOCC for a shipment, the entity must meet the Shipping Act's definition of common carrier; that is, it must hold itself out to the general public to provide transportation by water of cargo between the United States and a foreign country for compensation, assume responsibility for the transportation from the port or point of receipt to the port or point of destination, and use for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country. 46 U.S.C. § 40102(7); *Rose Int'l, Inc. v. Overseas Moving Network Int'l, Ltd.*, 29 S.R.R. 119, 162 (FMC 2001).

Phillip Marciano LLC v. U.S. Cargo Servs, Inc., Dkt. No. 25-11, 2025 WL 3732714 at *14. (ALJ Dec. 16, 2025) (notice not to review Jan. 16, 2026)

For these reasons, and as discussed below, Formukleen has not established the threshold basis for its claims against TSS, and the requested relief should be denied.

I. FORMUKLEEN HAS NOT ESTABLISHED THAT TSS ACTED AS AN NVOCC WITH RESPECT TO THE SUBJECT SHIPMENTS

The central issue in this proceeding is whether TSS acted as an NVOCC with respect to the two subject shipments. Your Honor has repeatedly identified that issue as central to the merits. Most recently, in the July 27, 2026 Order, Your Honor described "the central inquiry in this case" as "whether Respondent acted as an NVOCC in relation to the two containers at issue." *Order Denying July 15 Motions* at 5 (July 27, 2026).

Formukleen itself recognizes that the inquiry is shipment specific. In its Opening Brief, Formukleen acknowledges that “[t]he relevant statutory capacity is determined by what TSS actually undertook and performed with respect to the transportation.” *Complainant’s Opening Brief* at 17. Thus, the parties agree on the relevant inquiry: the question is not simply whether TSS was licensed and generally capable of acting as an NVOCC, but whether TSS acted in that capacity with respect to the two shipments subject of this proceeding.

TSS does not dispute that it holds FMC authority and offers NVOCC services as part of its business. TSS’s tariff likewise identifies TSS as an FMC-licensed NVOCC. Formukleen relies on that tariff in its Opening Brief, identifying Tariff No. 022839-001 as describing TSS as an FMC-licensed “OTI Freight Forwarder and NVOCC.” *Complainant’s Opening Brief* at 16. But the existence of that authority does not establish that TSS acted as an NVOCC with respect to every shipment it handled for Formukleen.

Indeed, Your Honor has already recognized the distinction between allegations sufficient to proceed and the ultimate determination of TSS’s capacity. In the April 1, 2026, Order, Your Honor found only that the Complaint ‘plausibly alleges that Respondent acted as an NVOCC’ and subsequently ‘defer[red] ruling on the jurisdictional issue until the merits are heard’ *April 1, 2026 Order* at 6–7.

The record developed since then does not establish that TSS assumed common-carrier responsibility for either subject shipment in an NVOCC capacity. Rather, as demonstrated below, the record shows that TSS’s role with respect to these shipments consisted of post-ocean transportation services, including customs clearance, local drayage and delivery, and warehousing. The record contains no evidence that TSS assumed responsibility, for compensation, for the

transportation of Formukleen’s two shipments from the foreign port of origin to the U.S. port of destination.

A. Your Honor Previously Recognized That the Shipment Documents Suggested TSS Was Not the NVOCC

The Commission’s precedence confirms that the determination of whether an entity acted as an NVOCC is transaction-specific. In *Worldwide Relocations, Inc.*, Docket No. 06-01, 2012 WL 11914713, at *5 (FMC Mar. 15, 2012), the Commission expressly affirmed that determining NVOCC status is a “fact intensive inquiry” requiring examination of the entity's conduct “on a particular shipment.” Your Honor relied on that framework in this proceeding in evaluating whether TSS acted as an NVOCC with respect to the two shipments: CHSU4047424 and BSIU8431017.

The case of Ali-Grimaldi v. UTrade Logistics, LLC, Docket No. 2040(I), is particularly instructive. There, Your Honor found that a registered NVOCC that performed customs clearance, assisted with cargo release, and arranged ground transportation from the port nevertheless did not act as the NVOCC for the shipment because its role was limited to post-arrival services and the record did not establish that it assumed responsibility for the underlying transportation. *Ali-Grimaldi*, 2026 WL 1190416, at *14 (SCO Apr. 22, 2026), notice not to review (FMC May 26, 2026). Your Honor subsequently cited *Ali-Grimaldi* in this proceeding when addressing whether TSS acted as an NVOCC for the two containers at issue.

Ali-Grimaldi also relied on *Marciano cited above*, which involved similar destination-side services. There, the respondent’s role in receiving the cargo, assisting with U.S. customs clearance, and coordinating delivery did not establish that it assumed responsibility for the cargo throughout its

journey. As the decision explained, “merely acting as a consignee or delivery agent, without more, is not enough to make an entity an NVOCC.” *Id.* Your Honor expressly found the facts in *Ali-Grimaldi* like those in the *Phillip Marciano* case and should also find the same in this case.

In denying Formukleen’s Motion for Summary Judgment, Your Honor reviewed the transportation documents and found that there were facts “that indicate that Respondent did not act as an NVOCC regarding the container shipments.” *Order Denying Motion for Summary Judgment* at 6–7 (Aug. 28, 2025). Your Honor specifically observed that TSS apparently did not issue the bills of lading or other transportation documents in the record. Your Honor further observed that, BL1 appeared to have been issued by TopSeaLand, while BL2 appeared to have been issued by Qichen Logistics. The arrival notice relating to CHSU4047424 appeared to have been issued by Dolphin Logistics, the telex relating to BSIU8431017 appeared to have been issued by DHY, and HGA was identified as the shipper on both bills of lading. Based on those facts, Your Honor expressly concluded: “These facts suggest that Respondent was not an NVOCC.” *Id.* at 7. Respondent respectfully continues to maintain, consistent with Your Honor’s conclusion, that it was not acting as an NVOCC with respect to the two shipments subject of this case.

Your Honor also identified additional facts that could clarify the capacity in which TSS acted. On the transaction-specific side, Your Honor observed that there was “no indication” that TSS “purchased transportation services, such as cargo space, from a common carrier and offered it for resale, or paid port-to-port charges, or entered into any agreement with the underlying shipper,” who was apparently HGA. *Id.* Those are the same transaction-specific criteria Your Honor identified under 46 C.F.R. § 515.2(k), including purchasing transportation for resale, paying port-to-port charges, entering affreightment agreements with underlying shippers, and issuing bills of lading or other shipping documents.

Discovery has since supplied evidence concerning that latter category. Formukleen now relies on TSS's NVOCC license, tariff, website, and prior dealings as evidence that TSS generally holds itself out as offering NVOCC services. TSS does not dispute that it is an FMC licensed OTI NVOCC. But evidence that TSS generally offers NVOCC services does not resolve the separate, transaction-specific question Your Honor identified: whether TSS acted in that capacity with respect to these two shipments. On that question, discovery is now complete, and Formukleen bears the burden of proving that TSS acted as the NVOCC for the subject shipments. The resulting record does not establish that TSS purchased the ocean transportation for resale, contracted with HGA to undertake the ocean carriage, or issued a bill of lading assuming common-carrier responsibility for either subject shipment. Instead, the evidence continues to show the distinction Your Honor identified at the summary-judgment stage: other entities appear on the documents governing the underlying transportation, while TSS performed customs clearance, local drayage and delivery, warehousing, and related post-ocean transportation arrival services.

The absence of a TSS-issued bill of lading is not dispositive standing alone. But under the transaction-specific analysis recognized in *Worldwide Relocations*, it is relevant when considered together with the identity of the entities appearing on the actual transportation documents and the nature of the services TSS performed. Taken together, that evidence weighs against Formukleen's contention that TSS assumed common-carrier responsibility for these shipments, which it did not.

B. TSS's Role Was Limited to Post Ocean Transportation Arrival Services

The record demonstrates that the services TSS undertook for the subject shipments were post-arrival services, after the ocean transportation concluded. . When asked to describe TSS's role, Mr. Del Monte testified: "My job is post arrival, I do the brokerage, the customs clearance, I deliver

the container to the customer and I pay the, any terminal fees to the port that are outstanding. That's it." Del Monte Dep. Tr. 94:19–22 (CX-0139).

Mr. Del Monte's testimony is consistent with the services TSS performed: customs clearance, local drayage and delivery, advancement of terminal charges, and warehousing. The fact that TSS received shipment information or communicated with other parties in anticipation of performing those services does not transform the nature of TSS's undertaking into that of an NVOCC for these shipments. The relevant distinction is not whether TSS had any involvement before the moment of physical arrival, but what transportation responsibility TSS undertook for the subject shipments.

The circumstances surrounding CHSU4047424 further demonstrate this distinction. Mr. Del Monte testified that Top Sealand was "the name that appears on the House Bill of Lading" and that its U.S. agent was Dolphin Logistics. He explained that the house bill identified Dolphin as the notify party and that Dolphin was the entity from which he obtained information regarding the container's "arrival" and "availability." He further testified that Dolphin generated the arrival notice containing charges and arrival information. Del Monte Dep. Tr. 75:8–24 (CX-0137).

Thus, TSS's receipt of information necessary to perform its post-arrival services does not establish that TSS assumed responsibility for the transportation as an NVOCC. Rather, the record reflects TSS receiving information concerning transportation arranged and documented through other entities so that TSS could perform its post-arrival functions. As explained in *Marciano*, "receiving goods, releasing goods at the shipper's instructions, having a relationship, or even accepting payment do not necessarily mean that an entity was acting as an NVOCC or a regulated entity for a particular shipment. It is not the contractual relationship that is the key finding, it is whether or not US Cargo acted as an NVOCC and assumed responsibility for these shipments from receipt to destination." *Id.* (Emphasis added) Here, as in *Marciano* and *Bartolini*, because TSS

was merely the consignee-destination agent, it did not assume responsibility and did not meet the Shipping Act's requirements. Therefore, TSS submits that this element Complainant cannot satisfy.

C. TSS Did Not Assume Responsibility for the Transportation as an NVOCC

Formukleen attempts to characterize TSS's coordination of local trucking, issuance of delivery instructions, payment of certain charges, receipt of the containers, and coordination of delivery as evidence that TSS assumed responsibility for the subject transportation as an NVOCC. The record does not support that conclusion. These activities were performed as part of TSS's post-arrival services and did not constitute an undertaking by TSS to transport the subject cargo as a common carrier or to assume responsibility for the transportation in an NVOCC capacity from origin to destination.

Mr. Villena's testimony further demonstrates the distinction between the release of the cargo and TSS's subsequent local role. When questioned regarding the release of the containers from the port, Mr. Villena explained that the containers had to be released before TSS could "actually take control or remove the container from the port." He further clarified that TSS's involvement concerned "the local trucking part of it." Villena Dep. 63:9–24.

That distinction is significant because Formukleen relies on TSS's control over the local movement of the containers as evidence that TSS assumed responsibility for transportation. TSS does not dispute that it coordinated local trucking or provided instructions concerning pickup and delivery. But those activities must be considered in the context of the services TSS undertook. As Mr. Villena explained, TSS could not "actually take control or remove the container from the port" until the cargo had been released, and the transportation TSS then coordinated was "the local trucking part of it." TSS's control over those local services therefore does not establish that TSS assumed

common-carrier responsibility as the NVOCC for the subject shipments from the foreign origin point to the destination point in the U.S.

The payment of transportation-related charges likewise does not establish that TSS assumed NVOCC responsibility. Formukleen relies on TSS's payment of charges as part of its theory that TSS assumed responsibility for the transportation. But Mr. Del Monte explained that where charges were due, TSS "would pay it on their behalf and invoice them," and further clarified that "we would pay charges on their behalf." Del Monte Dep. Tr. 26:13–25 (CX-0126). Payment or advancement of charges on Formukleen's behalf does not, without more, establish that TSS acted as an NVOCC. The relevant question is not merely whether TSS paid certain charges, but whether TSS assumed common-carrier responsibility for transportation from origin point overseas to the destination port in the U.S.

Formukleen attempts to overcome this distinction by aggregating TSS's post-arrival activities. Its Opening Brief argues that TSS "generated the documents required to move each container, gave pickup authority, selected and changed delivery locations, directed delivery to facilities under its control, paid transportation charges, accepted the downstream carrier obligation, received and stored the cargo, controlled access, and decided when delivery would resume." Formukleen then concludes: "No single label controls. The full operating chain does."

But Formukleen's characterization does not establish that TSS assumed responsibility for transportation as an NVOCC from origin to destination. The activities on which Formukleen relies are the same types of post-arrival functions described by Mr. Villena: customs clearance, local trucking and delivery, payment of outstanding charges, and subsequent handling of the cargo. Formukleen's aggregation of those activities does not change the TSS' capacity in which they were performed.

Formukleen’s theory tries to impose on TSS responsibility for particular post-arrival services with responsibility for transportation in an NVOCC capacity. TSS does not dispute that it undertook responsibility for the post-arrival services it performed. The relevant question, however, is whether those services establish that TSS assumed common-carrier responsibility as an NVOCC for the subject shipments. The record does not establish that it did.

D. TSS’s NVOCC License and General Business Offerings Do Not Establish that TSS Acted as an NVOCC for the Subject Shipments

Formukleen relies on TSS’s FMC license, tariff, website, and prior dealings with Formukleen to establish that TSS held itself out as an NVOCC. TSS does not dispute that it is licensed to provide NVOCC services or that such services are among the services it offers. The existence of that authority, however, does not establish that TSS acted in an NVOCC capacity with respect to the two shipments at issue.

Indeed, Formukleen’s own argument recognizes that the relevant inquiry is transaction-specific. In discussing prior communications referring to TSS as Formukleen’s “freight forwarder,” Formukleen acknowledges that the term was used “colloquially” and states that “[t]he relevant statutory capacity is determined by what TSS actually undertook and performed with respect to the transportation.” That principle supports TSS’s position here. The question is not whether TSS was capable of providing NVOCC services, but whether it undertook that role for the two subject shipments, which it maintains, it did not.

Formukleen’s reliance on TSS’s tariff does not answer that question. Formukleen points to Tariff No. 022839-001, which identifies TSS as an FMC-licensed “OTI Freight Forwarder and NVOCC,” refers to TSS as the “Carrier,” and describes services that TSS may provide, including intermodal

and door service. Those provisions demonstrate the services TSS is authorized and holds itself out to provide generally. They do not establish that every service TSS performs for every customer is performed pursuant to that tariff or as an NVOCC.

The same is true of Formukleen's reliance on TSS's current website. Formukleen cites website language advertising freight forwarding that manages "every link" and "end-to-end service from pickup to final delivery." General descriptions of the range of transportation and logistics services TSS offers do not establish that TSS undertook to assume responsibility for the two shipments subject of this case.

Formukleen also relies on communications from 2022, approximately three years before the subject shipments, in which Formukleen referred to TSS as "our freight forwarder" and instructed its supplier to provide TSS with information so that Mr. Villena could "book the shipments." Those communications concern prior transactions, not CHSU4047424 or BSIU8431017. They may demonstrate that TSS performed or was asked to perform freight-forwarding functions for Formukleen on other occasions, but they do not establish the capacity in which TSS acted with respect to the two shipments at issue here.

Formukleen therefore cannot establish TSS's capacity on the subject shipments merely by showing that TSS could act as an NVOCC, advertised NVOCC services, or performed different services for Formukleen in prior transactions. Those facts do not resolve the shipment-specific inquiry. As Formukleen itself acknowledges, statutory capacity turns on "what TSS actually undertook and performed with respect to the transportation."

E. The Absence of a TSS-Issued House Bill Remains Relevant to the Shipment-Specific Inquiry

Formukleen argues that TSS was not required to originate the transportation, book the vessel, or issue the ocean house bill to act as an NVOCC. TSS states that the absence of a TSS-issued house bill remains relevant when considered with the transaction-specific evidence discussed above, including the transportation documents identifying other entities and the evidence concerning TSS's post-arrival role.

Thus, although the absence of a TSS-issued house bill is not dispositive standing alone, it forms part of the totality of the evidence showing that TSS did not assume common-carrier responsibility for the subject shipments in an NVOCC capacity.

F. Formukleen Cannot Shift Its Burden by Asking TSS to Prove Who Else Assumed Responsibility

Formukleen asks, "If TSS did not assume responsibility for the transportation of these containers at the point of receipt, then who did?" It then argues that TSS should be able to identify the responsible party and produce communications showing the authority under which TSS acted.

That argument improperly shifts the burden. Formukleen bears the burden of proving that TSS acted as an NVOCC with respect to the subject shipments. TSS is not required to establish NVOCC status in some other entity in order to defeat Formukleen's claim. The relevant question is whether Formukleen has proven that TSS assumed common-carrier responsibility for transportation.

Formukleen's series of rhetorical questions concerning who authorized TSS to instruct truckers, select delivery locations, or warehouse the cargo does not substitute for proof that TSS assumed responsibility as a common carrier. Those questions concern the authority under which TSS performed the local services it admittedly undertook. They do not establish the distinct statutory proposition that TSS acted as the NVOCC for the subject transportation.

Formukleen therefore must prove from the record that TSS acted as the NVOCC, who assumed responsibility from origin to destination. . It cannot satisfy that burden by asserting that, unless TSS identifies another entity as responsible for every aspect of the movement, TSS must necessarily have been the NVOCC.

II. FORMUKLEEN HAS NOT ESTABLISHED A VIOLATION OF 46 U.S.C. § 41102(c)

Formukleen's Section 41102(c) claim depends first on its contention that TSS acted as an NVOCC with respect to the subject shipments. Formukleen expressly identifies that proposition as the first element of its claim: "First, TSS acted as an NVOCC." For the reasons set forth in Section I, the record does not establish that threshold premise.

Formukleen also characterizes TSS's conduct as a "normal, customary, and continuous" practice. Its proof, however, is principally the treatment of the same Formukleen account and the two containers that are the subject of this proceeding. Formukleen asserts that TSS applied the alleged practice to "two containers separated by months" and relies on TSS's written terms, internal account instructions, and its defense of the conduct in this litigation. Those facts establish that a payment dispute existed between TSS and Formukleen and that TSS took action with respect to two shipments arising out of that dispute. They do not, merely because the conduct occurred twice within the same customer relationship, establish that TSS maintained the type of generally applicable NVOCC practice Formukleen alleges.

Formukleen further relies on Commission decisions involving entities that were acting as NVOCCs and argues that withholding cargo to obtain payment of obligations associated with other shipments is unreasonable. But those authorities do not eliminate the threshold factual question in this case. The issue is not whether an NVOCC may engage in unreasonable cargo-hold practices.

The issue is whether TSS was acting as the NVOCC when it performed the services, which TSS maintains that it did not.

Accordingly, Formukleen's Section 41102(c) claim cannot be established merely by proving that TSS temporarily withheld cargo during a commercial account dispute. Its claim depends upon proving that TSS acted in the regulated NVOCC capacity alleged and that the challenged conduct constituted a normal, customary, and continuous practice within that capacity. The record does not establish that Complainant has met the required elements of the claimed violations.

III. FORMUKLEEN HAS NOT ESTABLISHED RETALIATION UNDER 46 U.S.C. § 41102(d)

Formukleen's retaliation claim fails because the record does not establish that TSS took any challenged action because Formukleen filed this proceeding. Formukleen itself acknowledges that the account holds and payment dispute existed before the Complaint was filed. Its Opening Brief expressly concedes: "That policy predated the Complaint."

That admission is significant. Formukleen filed its Complaint on June 9, 2025, and the Commission served TSS on June 17, 2025. Yet the account dispute and the conditions governing release of BSIU8431017 were already in place before either event. Formukleen therefore cannot establish retaliation merely by showing that an existing commercial dispute continued after the Complaint was filed or served. The statute requires prohibited conduct because of protected activity, and Formukleen identifies that causal connection as one of the required elements of its own claim.

Indeed, Formukleen's theory depends primarily on timing. It argues that because BSIU8431017 remained unreleased for eight days after service of the Complaint, the continuation of the

preexisting payment condition became retaliatory. But timing does not change the reason the condition existed in the first place. The record cited by Formukleen reflects an ongoing account and credit dispute that preceded the filing of this proceeding, not a new condition imposed in response to it.

Formukleen also relies on declarations concerning statements allegedly made on July 10, 2025, including references to “trouble” and destruction of remaining goods. Those allegations do not establish that the earlier detention of BSIU was undertaken because of the Complaint. Formukleen must prove the required causal connection between its protected activity and the challenged action. The existence of later disputed statements does not retroactively transform an account dispute that indisputably predated the Complaint into retaliatory conduct.

Formukleen’s chronology therefore proves sequences, not causation. The account dispute existed before the Complaint, the hold policy existed before the Complaint, and Formukleen itself admits as much. The continuation of a preexisting commercial dispute after protected activity, without evidence that TSS imposed a new adverse condition because of that protected activity, does not establish retaliation under Section 41102(d).

Accordingly, Formukleen has not established the causation element necessary for its retaliation claim, and its claim under 46 U.S.C. § 41102(d) should be denied.

IV. FORMUKLEEN HAS NOT ESTABLISHED AN UNREASONABLE REFUSAL TO DEAL OR NEGOTIATE UNDER 46 U.S.C. § 41104(a)(10)

To establish a violation of Section 41104(a)(10), Formukleen must prove that TSS was acting as a common carrier, that TSS refused to deal or negotiate, and that the refusal was

unreasonable. *MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, Docket No. 16-16, 2020 WL 13512925, at *9 (FMC Oct. 29, 2020). Formukleen has not established those elements.

First, as explained in Section I, Formukleen has not established the threshold premise that TSS acted as the NVOCC/common carrier with respect to either subject shipment. That issue is particularly significant here because Formukleen's own authority, *Way Interglobal Network, LLC v. Shenzhen Unifelix SCM Ltd.*, involved an entity acting as the NVOCC for the shipment. Formukleen cannot bypass the disputed capacity issue merely by characterizing TSS's handling of the account dispute as a common-carrier refusal to deal.

Nor does the record establish that TSS refused to deal or negotiate. Formukleen argues that TSS "did not offer a shipment-specific resolution" because TSS required resolution of the broader outstanding account. *Complainant's Opening Brief* at 24. But Section 41104(a)(10) prohibits a refusal to deal or negotiate; it does not establish that a common carrier must accept the particular resolution demanded by the other party. Commission precedent distinguishes an actual refusal to deal from negotiations that do not produce terms acceptable to the complainant. *See Consumer Elec. Shippers Ass'n, Inc. v. Asia N. Am. Eastbound Rate Agreement*, 26 S.R.R. 85, 93 (ALJ 1991).

The contemporaneous record shows an ongoing account dispute and communications concerning how it could be resolved. TSS advised Formukleen that its account remained past due and exceeded its credit limit, explained that credit terms had been suspended because of a "repeated pattern of late payments," stated what was required for credit privileges to be reconsidered, and referred to "multiple efforts to support your account over the past year." CX-0172. Mr. Villena likewise testified that the restriction on release was "[p]ending payment resolution" and continued "[u]ntil payment resolution was made." Villena Dep. Tr. 45:4-21 (CX-0147). Those communications may

reflect terms Formukleen opposed, but they do not reflect a refusal by TSS to communicate or negotiate concerning resolution of the account.

Formukleen's reliance on *Way Interglobal* does not eliminate either deficiency. Formukleen describes that decision as finding a violation where "an NVOCC refused delivery despite payment for the shipment at issue." *Complainant's Opening Brief* at 24. Here, the antecedent question remains whether TSS acted as the NVOCC/common carrier for these shipments at all. And independently, the record reflects an ongoing payment dispute in which TSS communicated the conditions it required for resolution, rather than refusing to engage with Formukleen altogether.

Accordingly, Formukleen has not established that TSS acted as the relevant common carrier, refused to deal or negotiate, and did so unreasonably. Its claim under Section 41104(a)(10) should be denied.

V. FORMUKLEEN HAS NOT ESTABLISHED A VIOLATION OF 46 U.S.C. § 41104(a)(4)(E)

Formukleen's claim under Section 41104(a)(4)(E) depends on a threshold showing that the challenged conduct occurred in connection with service TSS provided as a common carrier pursuant to its tariff. Formukleen has not established that predicate.

Indeed, Formukleen frames its own argument conditionally, stating: "If the Commission finds that the subject service was pursuant to that tariff framework," TSS's conduct constituted an unfair practice in the adjustment and settlement of claims. *Complainant's Opening Brief* at 24. That qualification is significant. The existence of an NVOCC tariff does not establish that every service TSS performs is necessarily provided pursuant to that tariff.

As explained above, the evidence concerning the two shipments shows TSS performing customs clearance, local drayage and delivery, warehousing, and related post-arrival services. Formukleen has not established that TSS undertook the subject transportation as an NVOCC or that the services at issue were performed pursuant to TSS's NVOCC tariff. Any allegations relating to TSS's reliance on contractual or lien rights was as a customs broker, in connection with an outstanding customs' broker's account, and not pursuant to TSS' NVOCC tariff.

Accordingly, Formukleen has not established the predicate necessary for its claim under Section 41104(a)(4)(E).

VI. FORMUKLEEN HAS NOT ESTABLISHED ENTITLEMENT TO THE REPARATIONS IT SEEKS

Formukleen seeks \$140,827.14 in actual injury, consisting of \$57,734.17 in alleged direct injury and \$83,092.97 in alleged lost profit, together with commercial interest and a discretionary additional amount under 46 U.S.C. § 41305(c). *Complainant's Opening Brief* at 26–27. Its separate Schedule of Actual Injury identifies the claimed direct damages as replacement and mitigation purchases, storage, a CBP charge, and an incremental chassis charge.

Those requested reparations necessarily depend on Formukleen first establishing a violation of the Shipping Act by TSS. For the reasons discussed above, Formukleen has not established that TSS acted as an NVOCC with respect to the subject shipments or that TSS violated the statutory provisions asserted in *Complainant's Opening Brief*. Without that predicate liability, there is no basis for an award of reparations.

Even if the Commission reaches the issue of damages, Formukleen must establish that the amounts claimed were proximately caused by the conduct for which TSS is found liable. Formukleen asserts

that the causal connection is “direct” because inventory was unavailable and it therefore incurred replacement expenses and lost profit. But the existence of invoices, accounting records, or an impacted-orders spreadsheet does not by itself establish that every claimed expense or lost sale was caused by a Shipping Act violation attributable to TSS. The claimed losses must be tied to the periods of allegedly unlawful conduct and to inventory actually affected by that conduct, and the resulting injury was proximately caused by TSS, which it was not.

This is particularly important with respect to Formukleen’s claimed \$83,092.97 in lost profit, which represents more than half of its total claimed actual injury. Formukleen bears the burden of establishing not merely that customer orders were affected, but that the claimed profits would have been realized and were lost because of the conduct at issue rather than other commercial circumstances.

Formukleen further seeks a discretionary additional amount under Section 41305(c), acknowledging that such an award is not automatic and that \$281,654.28 represents only the maximum potential recovery if the Commission were to award the full additional amount. Because Formukleen has not established the underlying Section 41102(c) violation, no additional amount should be awarded. Alternatively, even if liability were found, the record does not warrant an automatic enhancement of the claimed damages.

Accordingly, Formukleen’s request for \$140,827.14 in actual injury, commercial interest, and any additional amount under Section 41305(c) should be denied.

VII. FORMUKLEEN’S RENEWED REQUEST FOR SANCTIONS AND ADVERSE FINDINGS SHOULD BE DENIED

Formukleen again asks Your Honor, under 46 C.F.R. § 502.150(b)(1)–(2), to deem established that TSS directed and assumed responsibility for the subject transportation and to preclude TSS from relying on the absence of certain third-party communications and payment records. *Complainant’s Opening Brief* at 28. That request should be denied because Formukleen has repeatedly sought relief based on the same alleged discovery deficiencies, and Your Honor has repeatedly declined to grant it.

On May 21, 2026, Your Honor denied Formukleen’s Motion to Enforce and for Sanctions without prejudice. Formukleen later renewed and expanded those allegations. In the July 27 Order, Your Honor found that Formukleen “still has not carried its burden of showing discovery misconduct by Respondent” and further concluded that Formukleen had “not met its burden of showing that Respondent’s productions were incomplete.”

Formukleen then sought reconsideration. In the August 18, 2026, Order, Your Honor observed that Formukleen had already twice been denied reopening and extension of discovery and was asking “for a third time” to reopen and extend discovery. *Order Denying Complainant’s Motions of August 10, 2026* at 1. After reviewing Formukleen’s renewed arguments, Your Honor found “no basis for reconsidering” the prior rulings. *Id.* at 2.

Most significantly, Your Honor expressly found that “the Villena Declaration, taken at face value, shows that Respondent materially complied with my April 1 Order.” *Id.* Your Honor further found that “Complainant has not persuaded me that the searches described in the Villena Declaration were materially deficient, nor has Complainant persuaded me that the Villena Declaration is materially inaccurate.” *Id.*

Formukleen now seeks, the same type of relief it failed to obtain through its discovery motions and motion for reconsideration. The record simply does not support sanctions, particularly in light of Complainant's repeated and unsuccessful attempts to obtain such relief. Accordingly, Formukleen's request for sanctions, adverse findings, or evidentiary preclusion under 46 C.F.R. § 502.150(b) should be denied.

VIII. CONCLUSION

Formukleen bears the burden of establishing that TSS acted as an NVOCC with respect to the two subject shipments and that TSS violated the Shipping Act provisions asserted in its Opening Brief. The record does not support those conclusions.

As demonstrated above, TSS's role with respect to the subject shipments consisted of post-arrival services, including customs clearance, local drayage and delivery, advancement of certain charges, and warehousing. The evidence does not establish that TSS undertook the subject transportation as a common carrier in an NVOCC capacity. Formukleen's statutory claims therefore fail at the threshold.

Formukleen also has not established an unreasonable refusal to deal or negotiate, a violation arising from service pursuant to TSS's NVOCC tariff, or entitlement to the reparations it seeks. Its renewed request for sanctions and adverse findings should likewise be denied, particularly where Your Honor has already found that TSS materially complied with the April 1 Order and that Formukleen failed to establish materially deficient searches or production.

Accordingly, TSS respectfully requests that Your Honor:

1. find that Formukleen has not established that TSS acted as an NVOCC with respect to containers CHSU4047424 and BSIU8431017;

2. deny Formukleen's claims under 46 U.S.C. §§ 41102(c), 41102(d), 41104(a)(10), and 41104(a)(4)(E);
3. deny Formukleen's request for sanctions, adverse findings, or evidentiary preclusion under 46 C.F.R. § 502.150(b);
4. deny Formukleen's request for \$140,827.14 in actual injury, commercial interest, any additional amount under 46 U.S.C. § 41305(c), and any other reparations; and
5. dismiss Complainant's Complaint with Prejudice; and
6. grant such other relief as Your Honor deems just and proper.

Respectfully Submitted,

TOP SHIPPING SYSTEMS CORP

Ricky Villena

Vice President, pro se

CERTIFICATE OF SERVICE

I hereby certify that on September 10th, 2026, I have served the foregoing to all parties of record in this proceeding via electronic mail.

By:

TOP SHIPPING SYSTEMS CORP

Ricky Villena

Vice President, pro se